

Collection Strategy Policy

1. Purpose and Scope

This policy defines the collection strategy framework for recovering overdue loan amounts from defaulting borrowers. It applies to all retail lending products including personal loans, credit cards, auto loans, and small business loans.

The collection strategy is determined based on the borrower's Days Past Due (DPD), outstanding loan amount, risk grade, and repayment history.

2. DPD Bucket Classification

Borrowers are classified into the following DPD buckets:

Bucket X: DPD 0 (Current)

No collection action required. Standard servicing and relationship management.

Bucket 1: DPD 1-30 (Early Delinquency)

Priority: Low

Primary Action: Automated reminders only

- Day 1-3: Send automated SMS reminder about missed payment
- Day 4-7: Send email reminder with payment link and amount details
- Day 7-14: Send IVR (Interactive Voice Response) automated call
- Day 15-30: Assign to tele-calling team for a single courtesy call
- No demand notices at this stage
- Tone: Polite and supportive. Treat as a potential oversight.

For loan amounts below Rs 1,00,000: Only automated SMS and email. No phone calls.

For loan amounts Rs 1,00,000 to Rs 5,00,000: SMS, email, and one courtesy call after Day 15.

For loan amounts above Rs 5,00,000: SMS, email, and courtesy call after Day 10.

Bucket 2: DPD 31-60 (Moderate Delinquency)

Priority: Medium

Primary Action: Active tele-calling and written communication

- Day 31-35: Assign dedicated tele-calling agent
- Day 31-45: Make 2-3 phone calls per week (within permitted hours)
- Day 35-40: Send formal written reminder letter via email and post
- Day 45-60: Send first demand notice (soft notice) via registered post
- Offer EMI restructuring for borrowers showing genuine financial difficulty
- Tone: Firm but professional. Emphasize consequences of continued default.

For loan amounts below Rs 1,00,000: Tele-calling only, no physical letters.

For loan amounts Rs 1,00,000 to Rs 5,00,000: Tele-calling + email + soft demand notice.

For loan amounts Rs 5,00,000 to Rs 25,00,000: Intensive tele-calling + demand notice + consider field visit.

For loan amounts above Rs 25,00,000: Assign senior recovery officer. Mandatory demand notice.

Bucket 3: DPD 61-90 (Serious Delinquency)

Priority: High

Primary Action: Intensive collection with escalation

- Day 61-70: Escalate to hard collection team
- Day 61-75: Daily phone call attempts (within permitted hours)
- Day 65-75: Send second demand notice (firm notice) with legal warning
- Day 75-90: Initiate field visit by collection agent to borrower's address
- Day 80-90: Send legal notice under Section 138 NI Act (if cheque bounce)
- Offer One Time Settlement (OTS) with up to 10% discount on total outstanding
- Tone: Serious and formal. Reference legal consequences explicitly.

For loan amounts below Rs 1,00,000: Intensive tele-calling + firm demand notice.

For loan amounts Rs 1,00,000 to Rs 5,00,000: Add field visit after Day 75.

For loan amounts above Rs 5,00,000: Mandatory field visit by Day 70. Legal notice preparation.

Bucket 4: DPD 91-180 (NPA Stage)

Priority: Critical

Primary Action: Legal action and recovery proceedings

- Day 91: Account classified as Non-Performing Asset (NPA) per RBI guidelines
- Day 91-100: Send final demand notice with 15-day legal action timeline
- Day 100-120: Initiate legal proceedings (filing suit for recovery)
- Day 91-180: Weekly field visits by senior recovery agent
- Day 120-150: For secured loans, initiate SARFAESI proceedings
- Offer OTS with up to 20% discount on total outstanding
- Assign to external legal counsel for high-value accounts
- Tone: Strictly legal and formal.

For loan amounts below Rs 1,00,000: External collection agency referral.

For loan amounts Rs 1,00,000 to Rs 25,00,000: In-house legal + field recovery.

For loan amounts above Rs 25,00,000: External legal counsel + SARFAESI (if secured).

Bucket 5: DPD 180+ (Write-off Candidate)

Priority: Critical

Primary Action: Recovery through legal and settlement channels

- Day 180-270: Continue legal proceedings
- Day 270+: Evaluate for write-off or sale to Asset Reconstruction Company (ARC)
- Offer OTS with up to 40% discount on total outstanding for early closure
- For secured loans: Proceed with asset seizure and auction under SARFAESI
- Maintain contact attempts quarterly
- Report to credit bureaus (CIBIL, Experian, etc.)

3. Risk Grade Based Adjustments

Grade A-B (Low Risk)

- These borrowers typically have strong credit histories
- Use softer collection approach, extend timelines by 7-10 days before escalation
- Prioritize restructuring and settlement offers
- Higher probability of recovery through negotiation

Grade C-D (Medium Risk)

- Follow standard collection timelines as defined above
- Monitor closely for payment promises and follow up

Grade E-F (High Risk)

- Accelerate collection timelines by 5-7 days
- Earlier assignment to field collection teams
- Proactive legal notice preparation
- Lower OTS discount thresholds

Grade G (Very High Risk)

- Immediately assign to senior recovery officer at DPD 31+
 - Fast-track legal proceedings at DPD 61+
 - Mandatory field visits starting DPD 45
 - Consider external collection agency referral early
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4. Channel Priority Matrix

For each DPD stage, use the following channel priority:

DPD 1-30: SMS > Email > IVR > Phone Call

DPD 31-60: Phone Call > Email > SMS > Physical Letter

DPD 61-90: Phone Call > Field Visit > Legal Notice > Email

DPD 91-180: Field Visit > Legal Action > Phone Call > Email

DPD 180+: Legal Action > Field Visit > Settlement Offer